Strategic Analysis Series
UK Companies 2024

GSK

Strategic Analysis Report 2024

Global Pharmaceutical & Vaccines Leader
Innovation-Driven Growth Strategy

Company: GSK plc

Headquarters: London, United Kingdom

Sector: Pharmaceuticals & Vaccines

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1. Executive Summary

GSK plc stands as one of the world's leading pharmaceutical and vaccines companies, with a rich history dating back to 1715 and a portfolio spanning respiratory diseases, oncology, HIV, and innovative vaccines. Following its strategic demerger of the consumer healthcare business (Haleon) in 2022, GSK has sharpened its focus on biopharmaceutical innovation, delivering strong growth momentum across its core therapeutic areas.

£31.4B
Total Revenue 2024

£6.4B
R&D Investment 2024

85
Pipeline Programs

Arexvy RSV Vaccine: Market Leadership Achievement

GSK's Arexvy achieved **82.6% efficacy** in preventing RSV-LRTD in adults 60+, with **94%+ efficacy** in high-risk populations. The vaccine demonstrated 60-65% reduction in RSV-related hospitalizations, establishing GSK as the first-to-market leader in adult RSV protection.

GSK's strategy centers on four core therapeutic areas: **respiratory/immunology & inflammation**, **oncology**, **HIV**, and **infectious diseases**. The company is targeting over **£12 billion in sales** from new products and line extensions by 2026, with 14 new medicines and vaccines in development aiming for multi-blockbuster potential by 2031.

2. Company Overview

2.1 Business Model & Segments

GSK operates through two primary segments: **Commercial Operations** and **Total R&D**. The company offers specialty medicines across oncology, respiratory/immunology, inflammation, and HIV, alongside a comprehensive vaccine portfolio protecting against shingles, meningitis, RSV, influenza, hepatitis, HPV, and other infectious diseases.

Table 1 GSK Business Segments & Focus Areas

Business Area	Key Products/Therapies	Strategic Focus
Specialty Medicines	Oncology (Blenrep), Respiratory (Nucala), Immunology	High-value, patent-protected therapies
Vaccines	Arexvy (RSV), Shingrix, Menveo, Fluarix	Innovation leadership, global access
HIV	Via ViiV Healthcare joint venture	Long-acting therapies, prevention
General Medicines	Asthma, COPD, bacterial infections	Established portfolio optimization

GSK has strategic collaborations with CureVac for mRNA vaccine development and AN2 Therapeutics for tuberculosis therapies. The company's global reach extends across Europe, North America, Asia, and emerging markets, with a commitment to making over 2 million doses of its long-acting injectable cabotegravir LA PrEP available to low- and middle-income countries between 2025-2026.

2.2 Historical Milestones

GSK's heritage reflects centuries of scientific advancement and strategic evolution, positioning the company as a leader in pharmaceutical innovation:

Table 2 Key Milestones in GSK History

Year	Milestone	Impact
1957	Beecham researchers isolated penicillin nucleus 6-APA	Enabled development of new antibiotics including Amoxil
1981	Glaxo launched Zantac	Global blockbuster anti-ulcer treatment
1987	Burroughs Wellcome developed effective HIV treatment	Breakthrough in HIV epidemic management
2000	Glaxo Wellmerge and SmithKline Beecham merger	Created one of world's largest pharma companies
2009	ViiV Healthcare established with Pfizer and Shionogi	Specialized HIV company focused on innovation
2018	RTS,S malaria vaccine WHO recommendation	World's first malaria vaccine candidate
2022	Haleon consumer healthcare demerger	Focused strategy on biopharmaceuticals
2023	Arexvy FDA approval - first RSV vaccine for older adults	Breakthrough in adult infectious disease prevention

3. Financial Performance 2024

3.1 Revenue & Profitability

GSK delivered solid financial performance in 2024 with total revenue of **£31.38 billion**, representing 3.46% growth year-over-year. The company maintained strong gross margins of 71.16% and continues to invest significantly in R&D to drive future growth.

Table 3 GSK Financial Performance Summary ($ Million)

Metric	2024	2023	2022
Total Revenue	$31,376	$30,328	$29,324
Gross Profit	$22,328	$21,763	$19,770
Operating Income	$4,021	$6,745	$6,433
Net Income	$2,575	$4,928	$14,956
Operating Cash Flow	$8,206	$8,624	$8,941
Gross Margin	71.16%	71.76%	67.42%

Net income declined in 2024 primarily due to the Zantac litigation, which impacted operating profit. However, underlying business performance remained robust, with specialty medicines sales growing by **19%** and vaccines showing continued strength.

3.2 R&D Investment

GSK invested **£6.4 billion ($8.6 billion)** in research and development in 2024, representing approximately 20.4% of revenue. This substantial investment underscores the company's commitment to innovation and pipeline development, with expectations for even greater R&D spending in 2025.

> **R&D Strategy & Pipeline Goals**
>
> GSK aims to launch **14 new medicines and vaccines** with multi-blockbuster potential (defined as >$1B annual sales) by 2031. The pipeline prioritizes best-in-class or first-in-class opportunities across four core therapeutic areas, with 37 programs in Phase 3 or registration as of early 2024.

Therapeutic Focus Areas:

- **Respiratory, Immunology & Inflammation:** Severe asthma, COPD, lupus, eosinophil-driven diseases
- **Oncology:** Multiple myeloma, ovarian cancer, endometrial cancer
- **HIV:** Long-acting prevention and treatment options
- **Infectious Diseases:** Vaccines for RSV, meningitis, influenza, and emerging threats

4. Product Portfolio & Pipeline

4.1 Arexvy: RSV Vaccine Breakthrough

Arexvy (Respiratory Syncytial Virus Vaccine, Adjuvanted) represents a landmark achievement in adult vaccine development, becoming the first FDA-approved RSV vaccine for adults 60 years and older. The vaccine has demonstrated exceptional efficacy in preventing RSV-related lower respiratory tract disease (LRTD).

Arexvy Clinical Efficacy Results

82.6%	94%+	60-65%
Overall Efficacy vs RSV-LRTD	Efficacy in High-Risk Groups	Hospitalization Reduction

Data from pivotal Phase 3 trial with 25,000+ participants aged 60+

Market Expansion: Arexvy has achieved increasing sales contributions from Europe and international markets, with launches in Japan (Q3 2024), Spain, and Italy (Q1 2025). GSK established its first vaccine distribution center in the Middle East in Abu Dhabi (July 2025), strengthening regional supply chain capabilities.

Safety Profile: Arexvy demonstrated a favorable safety profile with local injection site pain occurring in approximately 26% of recipients, systemic adverse events in 8-10%, and serious adverse events in <1% of cases—comparable to placebo groups.

4.2 Oncology Pipeline

GSK's oncology portfolio is anchored by Blenrep (belantamab mafodotin), an antibody-drug conjugate (ADC) for multiple myeloma that has demonstrated significant clinical benefit in relapsed/refractory settings.

Blenrep (Belantamab Mafodotin)

Multiple Myeloma

DREAMM-7 Trial: Nearly tripled median progression-free survival vs standard of care. **DREAMM-8 Trial:** Positive results combining Blenrep with pomalidomide and dexamethasone. FDA approved October 2025 for third-line treatment.

Jemperli (Dostarlimab)

Endometrial Cancer, Ovarian Cancer

Anti-PD-1 antibody approved for dMMR/MSI-H endometrial cancer. Expanding into ovarian cancer and other solid tumors through combination studies.

Depemokimab

Severe Asthma

Anti-IL5 long-acting biologic in Phase 3. Expected FDA approval in 2025 as part of respiratory portfolio expansion.

Nucala (Mepolizumab)

COPD, Eosinophilic Diseases

Expanding indications into COPD. Already approved for severe asthma and eosinophilic granulomatosis with polyangiitis.

4.3 Pipeline Overview

As of early 2024, GSK's pipeline comprised **85 programs**, with 37 in Phase 3 or undergoing registration. The company anticipates at least five significant new product approvals from the FDA in 2025.

Table 4 Key Pipeline Programs Expected for 2025 Approval

Product	Indication	Status
Penmenvy	Meningitis vaccine	FDA approved Q1 2025
Blujepa	Uncomplicated UTIs	FDA approved Q1 2025
Nucala	COPD	Under review
Blenrep	Multiple myeloma (earlier lines)	FDA approved Oct 2025
Depemokimab	Severe asthma	Under review

Digital Innovation Integration: GSK is actively embracing AI and machine learning to accelerate drug discovery, streamline clinical trials, and enhance manufacturing efficiency. The Q Block smart manufacturing facility in the UK uses AI-enabled systems to optimize production, while strategic partnerships with Cloud Pharmaceuticals and the IE School of Science and Technology accelerate AI-driven health solutions development.

5. Strategic Growth Initiatives

GSK's growth strategy is built on three pillars: **pipeline prioritization**, **geographical expansion**, and **strategic partnerships**. The company is targeting sales exceeding **£40 billion by 2031**, driven by innovation in high-margin therapeutic areas.

Strategic Priorities

- **Pipeline Prioritization:** Focus on specialty medicines and vaccines with new product launches and expanded indications
- **Geographical Expansion:** Growth in emerging markets to diversify revenue streams, with particular focus on Asia-Pacific (4.2% YoY growth)
- **Strategic Partnerships:** Collaborations driving technological advancement and value-based healthcare agreements
- **Global Access:** Commitment to making medicines available in low- and middle-income countries

Technology & Innovation Investment:

- **AI/ML Integration:** Accelerating drug discovery and clinical trial optimization
- **Manufacturing 4.0:** Smart facilities with AI-enabled production systems
- **Genetic Target Validation:** Proprietary platforms improving drug candidate success rates
- **Digital Health Solutions:** AI and data analytics for integrated healthcare solutions

Intellectual Property Management: In April 2025, GSK and Pfizer finalized a global settlement concerning RSV patents, securing a royalty stream for GSK on sales of Abrysvo, demonstrating effective IP strategy execution.

6. Market Position & Outlook

GSK is well-positioned to capitalize on demographic trends driving healthcare demand, with a strong portfolio addressing aging populations, infectious disease prevention, and cancer treatment. The company's first-mover advantage in RSV vaccines and robust oncology pipeline provide multiple growth drivers.

Table 5 GSK Financial Outlook & Targets

Metric	2024 Actual	2025 Guidance	2026+ Targets
Turnover Growth	3.46%	3-5%	Sustained mid-single digit
Core Operating Profit Growth	-	6-8%	Double-digit CAGR to 2026
New Product Sales	~£3B	Growing	>£12B by 2026
Total Sales Target	£31.4B	£32B+	>£40B by 2031

Key Growth Drivers:

1. **Arexvy Market Expansion:** Continued rollout in international markets and potential expansion to younger age groups
2. **Oncology Portfolio Growth:** Blenrep expansion into earlier lines of therapy and new combination regimens
3. **Respiratory Franchise:** Nucala COPD approval and depemokimab launch
4. **Pipeline Execution:** 14 multi-blockbuster candidates advancing toward market
5. **Emerging Markets:** Geographic expansion in high-growth regions

Risk Factors: Key risks include regulatory delays, competition from other RSV vaccines (Abrysvo, mResvia), pricing pressure in key markets, and potential pipeline setbacks. The company also faces ongoing litigation exposure, including the Zantac cases that impacted 2024 results.

Investment Thesis: GSK offers a compelling combination of established vaccine leadership, innovative pipeline assets, and strong financial returns. The company's focus on specialty medicines and vaccines positions it well for sustainable growth, while its commitment to R&D ensures continued innovation. The successful launch of Arexvy validates GSK's ability to deliver breakthrough medicines addressing significant unmet medical needs.

Sources: GSK Annual Report 2024; GSK Financial Statements; Clinical Trial Data; Industry Analysis; Systematic Review of RSV Vaccines (PMC)

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